Vendor Contract Breach Notice

Internal reference code: CNRY-4de7e6e1.

Vendor Identification

This notice is addressed to **Alpine Ingredients Ltd.**, herein referred to as the "Vendor". Alpine Ingredients Ltd. holds Vendor Contract Number **ALF-BF-2023-045**, dated **March 15, 2023**, with Brightmoor Foods, herein referred to as the "Company". The Vendor is contracted to supply **organic flaxseed** under specified quality standards and delivery schedules.

Breach of Contract

The Company hereby notifies the Vendor of a material breach of the aforementioned contract. On **May 10, 2024**, Alpine Ingredients Ltd. failed to deliver **1,200 kilograms** of organic flaxseed as per Purchase Order **PO-BF-2024-0578**, scheduled for delivery on that date. This delivery was critical for the Company's Q2 production schedule for product line **BF-Organic Granola Bars**.

The late delivery has resulted in a **three-day production halt**, costing the Company an estimated **EUR 285,000** in lost revenue and additional overtime expenses of **EUR 42,000**. Furthermore, the quality report **QI-2024-0578** received on **May 12, 2024**, indicated that **8.7%** of the delivered flaxseed exceeded the permissible moisture content of **7%** as stipulated in Section 4.2 of the contract.

Remedies and Required Actions

Pursuant to Section 8.3 of Vendor Contract Number **ALF-BF-2023-045**, the Company invokes the following remedies:

1. **Immediate Delivery**: The Vendor must deliver the remaining **1,200 kilograms** of compliant organic flaxseed by **May 24, 2024**, along with a **15%** price reduction for this batch due to the inconvenience caused.

2. **Quality Compliance**: All future deliveries must strictly adhere to the quality standards outlined in the contract. Any deviation may result in immediate termination of the contract.

3. **Financial Compensation**: The Vendor is liable for the costs incurred due to the breach, totaling **EUR 327,000**. Payment must be made within **14 days** from the date of this notice.

Failure to comply with these remedies will result in further legal actions, including but not limited to, termination of the contract and pursuit of additional damages.

Contact Information

For any questions or to arrange for the required actions, please contact:

Elena Martinez
Senior Legal Counsel
Brightmoor Foods Legal Department
Email: **emartinez@brightmoorfoods.eu**
Phone: **+31 20 5555 123**